



Senator Anne Carney
Senate Chair of the Joint Standing Committee on Judiciary
21 Angell Point Road
Cape Elizabeth, ME 04107

December 18, 2023

Representative Matt Moonen
House Chair of the Joint Standing Committee on Judiciary
53 Thomas St., #3
Portland, ME 04102

Senator Lisa Keim
1505 Main Street
Dixfield, ME 04224

RE: LD 1973 – Oppose

Dear Senator Carney, Representative Moonen, and Senator Keim:

On behalf of the advertising industry, we write to oppose LD 1973, an act to enact the “Maine Consumer Privacy Act.”¹ We understand discussions on LD 1973 have occurred in working sessions held by the Joint Standing Committee on Judiciary. LD 1973 contains concepts that are significantly out-of-step with privacy laws in other states. The bill’s terms are overly restrictive to the point that they threaten to completely eliminate routine and beneficial data processing practices, such as data processing for legitimate and responsible advertising. Instead of proceeding with the discordant approach represented in LD 1973, we ask the legislature to harmonize its approach with other state privacy laws.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, long-standing and emerging publishers, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² By one estimate, over 20,000 jobs in Maine are related to the ad-subsidized Internet.³ Below we provide a non-exhaustive list of concerns with LD 1973. We would welcome the opportunity to engage with you further on the issues with the bill and the benefits of data-driven digital advertising we outline here:

- **Maine Should Take Steps to Harmonize Its Approach to Privacy with Other State Laws**
- **LD 1973’s Opt-In Requirements Are Overly Restrictive and Would Limit Consumer Benefits and Choices**
- **LD 1973 Should Clarify the Scope of and Include Safeguards for Opt-Out Preference Signals to Protect Consumer Choice**

¹ Maine LD 1973 (131st Leg., Second Reg. Sess., 2023), located [here](#).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located [here](#) (hereinafter, “Deighton & Kornfeld 2021”).

³ *Id.* at 127.

- **The Bill Should Harmonize with Existing State Privacy Laws By Focusing Controller Disclosure Requirements on Categories of Third-Party Partners**
- **The Data-Driven and Ad-Supported Online Ecosystem Benefits Maine Residents and Fuels Economic Growth.**

We and the companies we represent, many of whom do substantial business in Maine, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and responsible industry policies, which is why we support a national, preemptive standard for data privacy at the federal level. In the absence of such a preemptive federal law, it is imperative for states to work to harmonize privacy standards to provide even protections for consumers and ease costs of operationalizing privacy requirements. Adopting a deviating approach, like that contained in LD 1973, would significantly impede Maine consumers from reaching products and services they rely upon and expect and would decimate the small and mid-size business community in the state.

I. Maine Should Take Steps to Harmonize its Approach to Privacy with Other State Laws

In the current absence of a national standard for data privacy at the federal level, it is critical for legislators to seriously consider the costs to both consumers and businesses that will accrue from a patchwork of differing privacy standards across the states. Harmonization with existing privacy laws is critical to minimizing costs of compliance and fostering similar consumer privacy rights for consumers. Particularly, LD 1973 should harmonize with existing state privacy laws around the following points, among others: (1) preserving responsible and beneficial targeted advertising, including by ensuring entities can use data necessary to conduct such advertising; (2) adopting a clear opt-out, as opposed to opt-in, approach to certain activities and data transfers such as sales and targeted advertising; (3) aligning any universal preference signal requirement with an opt-out approach and opt-out preference signals recognized in other jurisdictions, including by adopting safeguards to protect consumer choice and avoid conflating a signal with other consumer rights or legal requirements; and (4) focusing disclosure requirements for controllers on categories of third-party partners rather than the names of such partners themselves. Such harmonization will benefit consumers and businesses alike. We discuss each of these points in greater detail in the subsequent sections of this letter.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.⁴ Another recent study found that a consumer data privacy proposal in a different state considering privacy legislation would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and an ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.⁵ Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.⁶ Maine should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

⁴ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located [here](#).

⁵ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located [here](#).

⁶ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located [here](#) (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

II. LD 1973's Opt-In Requirements are Overly Restrictive and Would Limit Consumer Benefits and Choices

LD 1973 would unreasonably require businesses to obtain opt-in consent from a consumer for many data processing activities that benefit consumers.⁷ As discussed in more detail in Section V below, the data-driven and ad-supported online ecosystem is powered by targeted advertising. This ecosystem benefits consumers and fuels economic growth and competition. Companies, nonprofits, and government agencies alike use data to send varying groups of individuals specific, relevant messages through targeted advertising functionalities. Tailored messaging provides immense public benefit by reaching individual consumers with information that is relevant to them in the right time and place. Legal requirements that limit entities' ability to use data responsibly to reach consumers with important and pertinent messaging, such as those set forth in LD 1973's opt-in consent requirements, can have unintended consequences and, ultimately, serve as a detriment to consumers' health and welfare.

Ad-technology systems and processes enable everything from public health messaging to retailer messaging. They allow timely wildfire warnings to reach local communities and facilitate the dissemination of missing children alerts, among a myriad of other beneficial uses with the very same technology and techniques used for targeted advertising.⁸ In accordance with responsible data use, uses of data for targeted advertising should be subject to notice requirements and effective opt out controls. Instead of placing blanket opt-in consent requirements on responsible uses of data, any new legal requirements should focus on prohibiting discriminatory uses of such data and other uses that could endanger the health or welfare of consumers.

A one-size-fits-all opt-in requirement for data use runs the risk of regulating out of existence messaging and information which is more relevant to individuals and helpful to businesses, governments, and non-profits. Opt-in consent requirements tend to work to the advantage of large, entrenched market players at the expense of smaller businesses and start-up companies. To ensure uses of data to benefit Maine residents can persist, and to help maintain a competitive business marketplace, we ask you: (1) amend the bill to permit consumers to opt out of processing for targeted advertising or sales rather than requiring them to opt in to such activity; and (2) ensure the bill preserves businesses' ability to use the data necessary for such beneficial data processing. Such an approach would not only help to maintain competitive balance, but also reduce the risk of notice fatigue.⁹ Additionally, an opt-out approach reflects the requirements of a majority of states with privacy laws across the nation.¹⁰

III. LD 1973 Should Clarify the Scope of and Include Safeguards for Opt-Out Preference Signals to Protect Consumer Choice

LD 1973 would create a provision regarding controllers recognizing "an opt-in preference signal approved by the laws of other states."¹¹ However, existing state privacy laws require adherence to opt-out preference signals, not opt-in signals.¹² As a result, other jurisdictions' opt-out signals would have limited or no utility in the context of the opt-in proposal set forth under

⁷ See, e.g., LD 1973 §§ 9603(2), 9605(2)(A).

⁸ See Digital Advertising Alliance, *Summit Snapshot: Data 4 Good – The Ad Council, Federation for Internet Alerts Deploy Data for Vital Public Safety Initiatives* (Sept. 1, 2021), located [here](#).

⁹ Kate Fazzini, *Europe's sweeping privacy rule was supposed to change the internet, but so far it's mostly created frustration for users, companies, and regulators*, CNBC (May 5, 2019), located at <https://www.cnbc.com/2019/05/04/gdpr-has-frustrated-users-and-regulators.html>.

¹⁰ See, e.g., Cal. Civ. Code § 1798.135; Va. Code Ann. § 57.1-577(A)(5); Colo. Rev. Stat 6-1-1306(1)(a); Conn. Gen. Stat. § 42-518(a)(5); Utah Rev. Stat § 16-61-201(4) (effective Dec. 31, 2023).

¹¹ LD 1973 § 9605(8).

¹² See, e.g., Cal. Civ. Code § 1798.135(b); Colo. Rev. Stat 6-1-1306(1)(a)(IV); Conn. Gen. Stat. § 42-520(e)(1)(A)(ii).

LD 1973. Additionally, further deviating from precedent in other states, the bill appears to connect the opt-in preference signal to a *deletion mechanism* for personal data used for the purposes of targeted advertising or sales.¹³ Such a deletion requirement, paired with an opt-in preference signal requirement, would eliminate businesses’ ability to use personal data for routine data practices that benefit and protect consumers and businesses—for example, fraud prevention and direct marketing. We recommend that the legislature strike this deletion requirement and, if a preference signal is obligated, clarify that an opt-out preference signal applies to processing for targeted advertising.

IV. The Bill Should Harmonize with Existing State Privacy Laws By Focusing Controller Disclosure Requirements on Categories of Third-Party Partners

Another way LD 1973 should harmonize with existing state privacy laws is by continuing to require that covered entities disclose only categories of third-party partners. Other state privacy laws take this category approach rather than requiring specific names of such third parties themselves.¹⁴ Requiring documentation or disclosure of names of entities would be operationally burdensome, as covered entities change business partners frequently, and companies regularly merge with others and change names.

For instance, a controller may engage in a data exchange with a new business-customer on the same day it responds to a consumer disclosure request. A specific-name requirement would either force the controller to refrain from engaging in commerce with the new business-customer until its privacy policy is updated or risk violating the law. Such a potential restraint would be unreasonable. From an operational standpoint, constantly updating a list of all third parties a controller works with would take significant resources and time away from companies’ efforts to comply with other new privacy directives in LD 1973. Controllers may be forced to jeopardize new business opportunities and relationships just to compile, maintain, update, and distribute these ephemeral lists. Given the divergence from other state laws, businesses operating in Maine would uniquely feel this compliance pain.

International privacy standards like the European Union’s General Data Protection Regulation (“GDPR”) also do not require burdensome disclosures of specific third parties in response to data subject access requests, according to the text of the law. Mandating that companies disclose the names of their third-party partners could obligate companies to abridge confidentiality clauses they maintain in their contracts with partners and expose proprietary business information to their competitors. Finally, the consumer benefit that would accrue from their receipt of a list of third parties to whom a controller discloses data would be minimal at best. The benefit would be especially insignificant given LD 1973 already requires controllers to disclose *categories* of third-party partners in privacy notices for consumers.¹⁵ For these reasons, we encourage you to preserve LD 1973’s harmonization with other state laws and avoid changes to require disclosure of specific third-party partners.

V. The Data-Driven and Ad-Supported Online Ecosystem Benefits Maine Residents and Fuels Economic Growth

Over the past several decades, data-driven advertising has created a platform for innovation and tremendous growth opportunities. A recent study found that the Internet economy’s contribution to the United States’ GDP grew 22 percent per year since 2016, in a

¹³ LD 1973 § 9605(7).

¹⁴ See, e.g., Cal. Civ. Code § 1798.110; Va. Code Ann. § 59.1-578(C); Colo. Rev. Stat. § 6-1-1308(1)(a); Conn. Gen. Stat. § 42-520(c)(5); Utah Rev. Stat § 16-61-302(1)(a) (effective Dec. 31, 2023).

¹⁵ LD 1973 at § 9605(4)(E).

national economy that grows between two to three percent per year.¹⁶ In 2020 alone, it contributed \$2.45 trillion to the U.S.'s \$21.18 trillion GDP, which marks an eightfold growth from the Internet's contribution to GDP in 2008 of \$300 billion.¹⁷ Additionally, more than 17 million jobs in the U.S. were generated by the commercial Internet in 2020, 7 million more than four years prior.¹⁸ More Internet jobs, 38 percent, were created by small firms and self-employed individuals than by the largest Internet companies, which generated 34 percent.¹⁹ The same study found that the ad-supported Internet supported 21,371 full-time jobs across Maine, more than double the number of Internet-driven jobs from 2016.²⁰

A. Advertising Fuels Economic Growth

Data-driven advertising supports a competitive online marketplace and contributes to tremendous economic growth. Overly restrictive legislation that significantly hinders certain advertising practices, such as third-party tracking, could yield tens of billions of dollars in losses for the U.S. economy—and, importantly, not just in the advertising sector.²¹ One recent study found that “[t]he U.S. open web’s independent publishers and companies reliant on open web tech would lose between \$32 and \$39 billion in annual revenue by 2025” if third-party tracking were to end “without mitigation.”²² That same study found that the lost revenue would become absorbed by “walled gardens,” or entrenched market players, thereby consolidating power and revenue in a small group of powerful entities.²³ Smaller news and information publishers, multi-genre content publishers, and specialized research and user-generated content would lose more than an estimated \$15.5 billion in revenue.²⁴ According to one study, “[b]y the numbers, small advertisers dominate digital advertising, precisely because online advertising offers the opportunity for low cost outreach to potential customers.”²⁵ Absent cost-effective avenues for these smaller advertisers to reach the public, businesses focused on digital or online-only strategies would suffer immensely in a world where digital advertising is unnecessarily encumbered by overly-broad regulations.²⁶ Data-driven advertising has thus helped to stratify economic market power and foster competition, ensuring that smaller online publishers can remain competitive with large global technology companies.

B. Advertising Supports Maine Residents’ Access to Online Services and Content

In addition to providing economic benefits, data-driven advertising subsidizes the vast and varied free and low-cost content publishers offer consumers through the Internet, including public health announcements, news, and cutting-edge information. Advertising revenue is an important source of funds for digital publishers,²⁷ and decreased advertising spends directly translate into lost profits for those outlets. Revenues from online advertising based on the responsible use of data support the cost of content that publishers provide and consumers value and expect.²⁸ And, consumers tell us that. In fact, consumers valued the benefit they receive from digital advertising-

¹⁶ Deighton & Kornfeld 2021 at 5.

¹⁷ *Id.*

¹⁸ *Id.*

¹⁹ *Id.* at 6.

²⁰ Compare *id.* at 127 (Oct. 18, 2021) with John Deighton, Leora Kornfeld, and Marlon Gerra, *Economic Value of the Advertising-Supported Internet Ecosystem*, INTERACTIVE ADVERTISING BUREAU, 106 (2017), located [here](#) (finding that Internet employment contributed 9,850 full-time jobs to the Maine workforce in 2016 and 21,371 jobs in 2020).

²¹ See John Deighton, *The Socioeconomic Impact of Internet Tracking* 4 (Feb. 2020), located [here](#).

²² *Id.* at 34.

²³ *Id.* at 15-16.

²⁴ *Id.* at 28.

²⁵ J. Howard Beales & Andrew Stivers, *An Information Economy Without Data*, 9 (2022), located [here](#).

²⁶ See *id.* at 8.

²⁷ See Howard Beales, *The Value of Behavioral Targeting* 3 (2010), located [here](#).

²⁸ See John Deighton & Peter A. Johnson, *The Value of Data: Consequences for Insight, Innovation & Efficiency in the US Economy* (2015), located [here](#).

subsidized online content at \$1,404 per year in 2020—a 17% increase from 2016.²⁹ Another study found that the free and low-cost goods and services consumers receive via the ad-supported Internet amount to approximately \$30,000 of value per year, measured in 2017 dollars.³⁰ Legislative frameworks that inhibit or restrict digital advertising can cripple news sites, blogs, online encyclopedias, and other vital information repositories, and these unintended consequences also translate into a new tax on consumers. The effects of such legislative frameworks ultimately harm consumers by reducing the availability of free or low-cost educational content that is available online.

C. Consumers Prefer Personalized Ads & Ad-Supported Digital Content and Media

Consumers, across income levels and geography, embrace the ad-supported Internet and use it to create value in all areas of life. Importantly, research demonstrates that consumers are generally not reluctant to participate online due to data-driven advertising and marketing practices. One study found more than half of consumers (53 percent) desire relevant ads, and a significant majority (86 percent) desire tailored discounts for online products and services.³¹ Additionally, in a recent Zogby survey conducted by the Digital Advertising Alliance, 90 percent of consumers stated that free content was important to the overall value of the Internet and 85 percent surveyed stated they prefer the existing ad-supported model, where most content is free, rather than a non-ad supported Internet where consumers must pay for most content.³²

Unreasonable restraints on advertising create costs for consumers and thwart the economic model that supports free services and content online. For example, in the wake of Europe's General Data Protection Regulation, and the opt-in consent requirements under that regime, platforms that have historically provided products and services for free have announced proposals to start charging consumers for access to their offerings.³³ LD 1973, which would outlaw the use of data collected across websites over time for targeted advertising, would create a similar environment where many companies could be forced to charge for services and products that were once free to Maine residents. Indeed, as the Federal Trade Commission noted in one of its submissions to the National Telecommunications and Information Administration, if a subscription-based model replaces the ad-based model of the Internet, many consumers likely will not be able to afford access to, or will be reluctant to utilize, all of the information, products, and services they rely on today and that will become available in the future.³⁴ A subscription model will diminish the number of channels available to access information, increase costs to consumers, curtail access to a diversity of online voices, and create an overall Internet environment where consumers with means can afford to access content, while consumers with less expendable income will be forced to go without access to online resources.

Laws that restrict access to information and economic growth can have lasting and damaging effects. The ability of consumers to provide, and companies to responsibly collect and use, consumer data has been an integral part of the dissemination of information and the fabric of

²⁹ Digital Advertising Alliance, *Americans Value Free Ad-Supported Online Services at \$1,400/Year; Annual Value Jumps More Than \$200 Since 2016* (Sept. 28, 2020), located [here](#).

³⁰ J. Howard Beales & Andrew Stivers, *An Information Economy Without Data*, 2 (2022), located [here](#).

³¹ Mark Sableman, Heather Shoenberger & Esther Thorson, *Consumer Attitudes Toward Relevant Online Behavioral Advertising: Crucial Evidence in the Data Privacy Debates* (2013), located [here](#).

³² Digital Advertising Alliance, *Zogby Analytics Public Opinion Survey on Value of the Ad-Supported Internet Summary Report* (May 2016), located [here](#).

³³ See, e.g. Megan Cerullo, *Meta proposes charging monthly fee for ad-free Instagram and Facebook in Europe*, CBS NEWS (Oct. 3, 2023), located [here](#); see also Ismail Shakil, *Google to block news in Canada over law on paying publishers*, REUTERS (Jun. 29, 2023), located [here](#).

³⁴ Federal Trade Commission, *In re Developing the Administration's Approach to Consumer Privacy*, 15 (Nov. 13, 2018), located [here](#).

our economy for decades. The collection and use of data are vital to our daily lives, as much of the content we consume over the Internet is powered by open flows of information that are supported by advertising. We therefore respectfully ask you to carefully consider LD 1973's potential impact on advertising, the consumers who reap the benefits of such advertising, and the overall economy before advancing it through the legislative process.

* * *

We and our members support protecting consumer privacy. We believe, however, that LD 1973 would diverge sharply from existing state privacy law standards and, in doing so, would burden entities doing business in the state with cumbersome requirements and would unnecessarily cut off Maine residents from helpful services and access to useful information online. We therefore respectfully ask you to reconsider LD 1973 or amend it to reflect the recommendations set forth in this letter. Thank you in advance for consideration of this letter.

Sincerely,

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